

The Board of Directors of the Kenya Power and Lighting Company Plc is pleased to announce the audited financial results of the Company for the year ended 30 June 2026 as follows:

CONDENSED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 30 JUNE 2026

	2026 Kshs Million	2025 Kshs Million
Revenue from contracts with customers	238,240	219,285
Cost of sales	(152,647)	(144,664)
Gross Margin	85,593	74,621
Other income	6,724	7,267
Operating costs	(53,750)	(42,421)
Operating Profit	38,567	39,467
Interest income	528	625
Finance costs	(3,081)	(4,717)
Profit Before Tax	36,014	35,375
Income tax expense	(11,025)	(10,908)
Profit After Tax	24,989	24,467
Other comprehensive income	(377)	(1,105)
Total comprehensive income for the year	24,612	23,362
Basic and diluted earnings per share (Kshs)	12.81	12.54

CONDENSED STATEMENT OF FINANCIAL POSITION AS AT 30 JUNE 2026

	2026 Kshs Million	2025 Kshs Million
Assets		
Property, plant and equipment	295,548	287,477
Other Non-current assets	4,034	3,345
Current assets	121,903	98,217
	421,485	389,039
Equity and Liabilities		
Shareholders' equity	131,801	109,335
Non-current liabilities	169,678	162,278
Current liabilities	120,006	117,426
	421,485	389,039

CONDENSED STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 30 JUNE 2026

	2026 Kshs Million	2025 Kshs Million
Cash generated from operating activities	38,223	39,768
Net Cash used in investing activities	(28,128)	(29,597)
Net Cash generated from financing activities	(10,839)	(12,869)
Increase in cash and cash equivalents	(744)	(2,698)
Cash and cash equivalents at beginning of year	7,685	10,353
Effect of foreign exchange rate changes on cash and cash equivalents	11	30
Cash and cash equivalents at close of year	6,952	7,685

PERFORMANCE OVERVIEW

Trading Performance

This year's business performance reflects the Company's sustained implementation of strategic initiatives focused on operational excellence, customer centricity, financial sustainability and human capital development. These initiatives supported growth in electricity demand and led to improvements in revenue, system efficiency, profitability and the Company's overall financial position.

The performance translated into improved earnings, with profit before tax increasing by KShs.639 million to KShs.36.01 billion, while profit after tax increased by KShs.522 million, being 2.13%, to KShs.24.99 billion. Basic and diluted earnings per share consequently increased from KShs.12.54 to KShs.12.81.

Revenue

Electricity revenue increased by KShs.18.96 billion to KShs.238.24 billion, primarily driven by higher electricity sales. Total electricity sales increased by 12% from 11,403 GWh in the previous year to 12,777 GWh. This growth was supported by increased sales across all customer categories and consumption from 411,710 new customers added during the year. Enhanced revenue protection initiatives also contributed to the growth.

Distribution and transmission efficiency improved from 78.79% to 81.42%, further supporting the Company's ability to convert growing demand into electricity sales.

Power Purchase Costs

Cost of sales increased by 5.52% to KShs.152.65 billion, which was lower than the 8.64% growth in revenue, reflecting the Company's continued focus on managing the cost of electricity supply amidst rising demand. The lower rate of growth in cost of sales relative to revenue resulted in a KShs.10.97 billion increase in gross profit to KShs.85.59 billion. Consequently, gross profit margin strengthened to 36% from 34% in the prior year, demonstrating improved gross earnings generated from each shilling of revenue.

Operating Expenses

Net operating expenses increased by KShs.11.33 billion, from KShs.42.42 billion to KShs.53.75 billion. The increase was partly driven by higher expected credit losses, alongside increases in staff costs, depreciation and other operating expenses. The higher cost base reflects the resources required to operate, maintain and expand the electricity network, while continuing to support customer service and business operations.

Finance Costs

Finance costs reduced by KShs.1.64 billion to KShs.3.08 billion, primarily driven by lower interest expense following the reduction in the Company's outstanding loan balances. The reduction reflects the Company's continued focus on strengthening its debt profile and managing overall financing costs.

Financial Position

The Company's financial position strengthened during the year, with total assets increasing by KShs.32.45 billion to KShs.421.49 billion. This growth was supported by continued investment in expansion, reinforcement and modernisation of the electricity network, with capital expenditure totalling KShs.28 billion during the year.

Net Working Capital

The Company achieved a significant turnaround in its working capital position, moving from negative KShs.19.21 billion as at 30 June 2025 to positive KShs.1.90 billion, an improvement of KShs.21.11 billion. Consequently, the current ratio improved from 0.84 to 1.02, marking an important strengthening of the Company's short-term liquidity position.

The debt profile continued to strengthen, with total borrowings declining to KShs.79.82 billion and borrowings due within one year reducing by 39.21% to KShs.10.64 billion, easing the annual debt service requirement.

Total equity increased by KShs.22.47 billion, or 20.55%, to KShs.131.80 billion, primarily driven by growth in retained earnings. As a result, gearing ratio improved significantly from 73% to 55%, while the debt-to-equity ratio improved from 0.80 to 0.60.

Dividend

The strengthening of the Company's financial position and sustained profitability continue to support shareholder value creation. The Company resumed dividend payments in FY2023/24 and has progressively increased the dividend per share, reflecting improved financial performance and a stronger balance sheet. In recognition of this continued improvement, an interim dividend of KShs.0.30 per ordinary share was paid during the year.

Building on this momentum, the Board is pleased to recommend a final dividend of KShs.1.20 per ordinary share for the year ended 30 June 2026, subject to applicable withholding tax, to shareholders on the register at the close of business on 27 November 2026. If approved by shareholders, the dividend will be paid before 31 December 2026.

Outlook

This year's results reflect progress in strengthening the Company's financial and operational position. Growth in electricity demand, improved system efficiency, stronger revenues, lower financing costs and reduced borrowings enhanced profitability and strengthened the balance sheet. This enabled continued investment in the network, customer access, digital capabilities and workforce rejuvenation, while enhancing shareholder value.

Building on these gains, the Company will continue to focus on initiatives to further improve customer service while delivering sustained shareholder value. The Company will also pursue new revenue streams, strengthen regulatory readiness and support increased generation and transmission capacity. Through prudent investment, sound governance and operational discipline, Kenya Power will continue building a reliable, resilient, digitally enabled and financially sustainable utility.

BY ORDER OF THE BOARD
IMELDA BORE
COMPANY SECRETARY
17 September 2026